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Chapter 7

Interest Charges



Introduction Accounts Receivable Interest Charges

The Accounts Receivable Interest Charges options enable you to calculate and apply interest charges to customer accounts. Use this facility as a credit control tool, ensuring prompt payment of invoices.

The interest on overdue accounts can be calculated according to the number of days overdue, or according to a percentage of the balance.

An interest charge is created as a separate open item transaction, and can itself have interest applied to it.

Interest invoices can be printed separately if necessary.

The interest can also be calculated in memorandum form and not recharged to the customer as a method of calculating the true cost of a debt.

Defaults



1/ARI

The calculation of the interest to be charged to a customer depends on many fields (parameters) set up using the AR Interest Defaults option.



Select the AR interest charges option Defaults to see the following field:

Fields:

Interest Charges Active?

1 - To activate the facility to set up interest charges defaults for your customers.

Maintain Interest Charge Defaults Screen



Complete the Interest Charges Active field and press **Enter**.

You can deactivate this facility later, even if interest runs have been made. You can also define customers as chargeable or non-chargeable on an individual basis.

SL530	E1 - Demonstration Company	User ED3	26/04/94 14:03:40
Maintain Interest Charge Defaults		Last interest run . .	
Next interest reference	1		
Percentage interest	10.00		
Days before interest	15		
Minimum amount for interest	5.00		
G/L interest reason code	AJ		
Currency Rate Code	PERD		
Time Basis	3 (1=Year, 2=Period, 3=Month, 4=Week, 5=Day)		
Calculation basis	1 (1=Days, 2=Balance, 3=Paid)		
Credits policy	1 (1=Allocate, 2=As other items, 3=N/A)		
Date to use	1 (1=Due, 2=Transaction)		
Date/period cut-off	1 (1=Date, 2=Period)		
Include disputed invoices?	0 (0=No, 1=Yes)		
Aggregate interest?	0 (0=No, 1=Yes)		
Examine credit balances?	0 (0=No, 1=Yes)		
Memo only?	0 (0=No, 1=Yes)		
Print Invoice?	0 (0=No, 1=Yes)		
Commission charge			
F3=Exit F4=Prompt F12=Previous			

Fields:

Next Interest Reference

This field is automatically incremented by the system each time a run is confirmed.

Normally you need not amend the default value. However, if two or more Accounts Receivable companies are linked to one General Ledger, the system does not allow duplicate references. You must enter a suitable starting reference in such instances.

Percentage Interest

This is the percentage rate that is used in conjunction with the other parameters to calculate the interest charge. You can enter a value up to 100%. The interest percentage can also be set at customer level.

Days Before Interest

Enter the number of days after the due date before interest is calculated on an outstanding item. When the waiting period is over, interest is charged back to the appropriate Date to Use date.

Minimum Amount For Interest

You can specify a minimum level of interest. If the total interest charged for a customer is below this value, no charge is made to the customer.

Enter the value in base currency. Each currency is treated separately, with the total being converted. It is converted to the base currency by the system before testing against the minimum value.

If the conversion rate is not set up you must enter it. The charge appears in a run even if the value falls below the minimum value.

G/L Interest Reason Code

You must enter a valid reason code. This determines the General Ledger account to which the interest and commission is posted.

Currency Rate Code

You must enter a currency rate code for the conversion of all prime currencies into base currency.

Time Basis?

This Field Determines Over What Period The Interest Is Calculated. For Example, For A Rate Of 10%:

Year(1)= $1/365.25 \times 10\% = 0.03\%$ Per Day

Month(3)= $12/365.35 \times 10\% = 0.33\%$ per day

Week(4)= $1/7 \times 10\% = 1.42\%$ per day

Day(5)= $1 \times 10\% = 10.00\%$ per day

Calculation Basis

Enter one of three interest calculation methods:

- 1 - charged based on the number of days an invoice is overdue.
- 2 - charge based on the balance of each overdue invoice regardless of the number of days overdue.
- 3 - similar to option 1, but not calculated until the invoice is FULLY paid. The system then calculates how many days the invoice is overdue. If you use this method, any credit notes should have the due date amended to match that of the invoice to which it relates, in order to avoid a charge on a fully credited invoice.

To enter 3 here, the Credits Policy must also be 3.

Credits Policy

This field allows you to deal with any open credit items:

- 1- perform a dummy allocation against the oldest existing invoices.
- 2- treat the credit items like any other items (due date - immediate), offset the negative interest against positive interest.
- 3 - ignore.

Date To Use

Enter either a 1 for the due date or 2 for the original transaction date to be used to calculate the interest.

Date / Period Cut-Off

This determines whether interest is to be calculated from a date specified at the time of calculation, or the period of the input run date.

Include Disputed Invoices?

1 - To include invoices flagged as in dispute.

Aggregate Interest?

1 - To charge interest on any outstanding interest charge.

Examine Credit Balances?

The system does not calculate interest on any account where the balance is in credit unless this field is set to 1.

Since the minimum interest is 0.01, the charge is never negative, but it could give rise to a charge under certain account and parameter setting conditions.

This option is not valid under the PAID calculation basis and so must be set to 0.

Memo Only?

This option allows the system to calculate the interest charge and record the item against the account but not as an open item. It does not affect the accounts in any other way, and no invoice is produced. Since it is not an open item it cannot be written off.

Print Invoice?

This option allows you to print invoices when an interest run is accepted.

Commission Charge

A charge can be added to the total interest charge for a customer and also appears as such on the invoice, if printed. This is a flat rate and a separate charge is made for each currency of the customer for which interest is charged in prime currency.

VAT Code?

Enter a VAT code and VAT will be calculated and added to the interest (and commission) on overdue debts.



Note: Displayed only if VAT on Interest on Overdue Debts is switched on in Country-Specific Parameters.



When you are satisfied with the entries, press **Enter**, then **F8** to update. To exit without updating, press **F12**.

Calculate

1... **11/ARI**
2...

When you have set up the parameters using the Default option, you will be ready to run the interest charges procedure using this option. This interest run is a batch job submitted to calculate all interest charges.

You can modify the parameter settings for a particular run by using the **F10** key.



Select the AR interest charges option *Calculate* to see the following field:

Fields:

Run Date

Enter a run date for this interest run. If you are using the system date as the cut-off, you can accept the displayed default which is the system date.



Press **Enter** then **F8** to initiate the run, or, if you want to change the interest parameters, press **F10**.

Recommend Interest Charges: Change Interest Parameters Window (F10)

This window enables you to change the run parameters as necessary. For definitions of the individual fields refer to Defaults, where each parameter is explained in turn.

SL540	E1 - Demonstration Company	User	26/04/94 14:04:31
Recommend Interest Charges			
Change Interest Run Parameters			
Interest Percentage	:	10.00	
Days before interest	:	15	
Minimum amount for interest	:	5.00	
G/L interest reason code	:	AJ	
Currency Rate Code	:	PERD	
Time Basis	:	3	(1=Year,2=Period,3=Month,4=Week,5=Day)
Calculation basis	:	1	(1=Days,2=Balance,3=Paid)
Credits policy	:	1	(1=Allocate,2=As other items,3=N/A)
Date to use	:	1	(1=Due,2=Transaction)
Date/period cut-off	:	1	(1=Date,2=Period)
Include disputed invoices?	:	0	(0=No,1=Yes)
Aggregate interest?	:	0	(0=No,1=Yes)
Allow negative interest?	:	0	(0=No,1=Yes)
Memo only?	:	0	(0=No,1=Yes)
Print Invoice?	:	0	(0=No,1=Yes)
Commission charge	:		
F4=Prompt F12=Previous			
F3=Exit			
F10=Amend run parameters			



Warning: Changing the parameters may result in charges being made on transactions which had previously avoided interest, or charges being dropped from transactions. As the sums involved could be substantial, it is recommended that you perform a thorough examination of the run.

When you have completed your amendments, press **Enter** then **F8** to update. You then have to choose between initiating the run using **F8** and using **F14**:

Functions:

F8

Calculates the run using the parameters for this run only. It will then revert to the old defaults for future runs.

F14

Calculates the run using the amended parameters, and updates the original defaults with the new values.



You can produce several runs without confirmation, but each run takes account of the charges calculated in the preceding runs (irrespective of whether they are confirmed or

updated). No repeat charges are made for the period already covered. (Memo items are the exception to this).

Review



12/ARI

When the interest run job has completed, you can enquire on it and any other run. You can adjust the charge made to individual customers, or accept the calculated charge.



Select the interest charges option *Review*.

Review Recommended Interest Charges Screen

SL543	E1 - Demonstration Company	User ED3	26/04/94 14:12:26
Review Recommended Interest Charges			
Recommended interest charges calculated to . . . 26/04/94			
Run number		1	More: +
1	Customer Name	Cur	Interest Charge Memo
-	BTM0001 Hierarchy Account 1	GBP	5597.54
-	BTM0002 Hierarchy Account 2	FRF	5558.95
-	BTM0003 Hierarchy Account 3	FRF	5520.35
-	BTM0005 Hierarchy Account 5	GBP	4506.79
-	BTM0006 Hierarchy Account 6	FRF	4468.20
-	BTM0007 Hierarchy Account 7	FRF	4429.60
-	BTM0009 Hierarchy Account 9	GBP	5288.71
-	BTM0010 Hierarchy Account 10	FRF	5250.10
-	BTM0011 Hierarchy Account 11	FRF	5211.50
-	BTM0017 Hierarchy Account 17	GBP	11272.28
I	FC01 La Parfumerie Agnes	FRF	4516.15
Position to customer . . . ? _____			
1=Amend 2=Memo/fiscal 3=Refresh 4=Delete 6=Transactions			
F3=Exit F4=Prompt F8=Update F11=Delete			

Various enquiry options are open to you from this screen. Each will be examined in turn.

Review Recommended Interest Charges: Amend the Charges Window



Enter 1 beside the customer account you wish to amend, and the amendment screen displays.

SL543	E1 - Demonstration Company	User ED3	26/04/94 14:12:26
Review Recommended Interest Charges			
Recommended interest charges calculated to . . . 26/04/94			More:
Run number 1			
1	Customer Name	Cur Interest Charge	Memo
-	BTM0001 Hierarchy Account 1	Amend Interest Charged	
-	BTM0002 Hierarchy Account 2	Customer . . FC01	Currency . . FRF
-	BTM0003 Hierarchy Account 3	La Parfumerie Agnes	
-	BTM0005 Hierarchy Account 5	Current Balance .	12645.00
-	BTM0006 Hierarchy Account 6	Total overdue . .	12522.75
-	BTM0007 Hierarchy Account 7	Interest Charge :	4516.15
-	BTM0009 Hierarchy Account 9	Interest % . . . :	10.00 per month
-	BTM0010 Hierarchy Account 1	Commission . . . :	
-	BTM0011 Hierarchy Account 1	F12=Previous	
-	BTM0017 Hierarchy Account 1		
I	FC01 La Parfumerie Agnes	FRF	4516.15
Position to customer . . . ? _____			
1=Amend 2=Memo/fiscal 3=Refresh 4=Delete 6=Transactions			
F3=Exit F4=Prompt F8=Update F11=Delete			

Fields:

Interest Charge

This field displays the calculated interest charge. You can amend this value as required.

Interest %

This field displays the percentage per month used for calculating the interest. If you amend this value, the system recalculates the interest charge accordingly.

Commission

This field displays the commission charge to be added to the interest charge. This field can be amended as required.

Memo / Fiscal (Option 2)

If you enter 2 against one of the customers it will change the account to a memo account if it was a fiscal account to begin with, or vice versa. A memo account has 1 in the Memo field, while a fiscal account is blank.

Memo accounts interest do not get recharged back to the customer.

Refresh (Option 3)



Enter 3 to restore the initial account values.

Delete (Option 4)



Enter 4 to delete a customer. You will be asked to confirm the deletion.

Transactions (Option 6)



Enter 6 against any customer to see the individual transactions which make up the interest charge.

Write Off



13/ARI

This option enables you to write off interest charges which have been updated to the accounts. It is recognised that in commercial practice, whilst interest on overdue debts may be charged, this is done to encourage prompt payment, and the charge may not always be collected. This option makes the removal of such charges quick and simple.



Select the AR interest charges option Write Off.

Write Off Interest Charges Selection Screen

SL550	E1 - Demonstration Company	User ED3	26/04/94 14:16:30
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Write Off Interest Charges

Customer ? FC01 (Leave blank for all)
Minimum days . . : (Leave blank to write off all interest charges)
Reason Code . . . ? AJ

F3=Exit F4=Prompt

Fields:

Customer

Enter the customer whose interest charges are to be written off, or leave blank to write off charges for all customers.

Minimum Days

All interest charges incurred before the number of days entered will be written off. If, for example, you enter 10 on the 26th May, the charges up to 16th May will be written off. This is to allow the clearing of old charges which will never be collected.

This field can be left blank to clear all charges, and a warning message displays to remind you that this option is a far reaching one.

Reason Code

The default code displayed is the one set up in the AR interest charges option Defaults. It can be changed to any valid reason code.

The code entered determines which General Ledger account the posting will go to.



When you have completed the fields, press **Enter**. The interest is written off by means of a corresponding posting (of type IX) which is automatically allocated and clears the matching charge (type IC).

Interest charges made in a currency other than base are written off at the same currency conversion rate at which they were charged.

Interest Runs Enquiry



21/ARI

This facility enables you to display the full details of any interest run which is either current (marked with an asterisk), or has been updated.



Select the AR interest charges enquiry option
Interest Runs.

Enquire on Interest Charge Runs Selection Screen

SL535	EL - Demonstration Company	User ED3	26/06/94 14:17:36
Enquire on Interest Charge Runs			More:
1	Date/ period	Run Number	1 Date/ period Run Number
1	26/04/94	1	1
-	10/05/94	2 *	
-	26/05/94	3 *	
-	10/06/94	4 *	
Position to run number . . : _____			
1=Select		*=Current	
F3=Exit			

This screen lists all the interest runs. To enquire on one, enter 1 against it and press **Enter**. The next screen displays the customers included in the selected run.

Enquire on Interest Charge Runs Customers Screen

SL535	E1 - Demonstration Company	User ED3	26/04/94 14:17:58
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Enquire on Interest Charge Runs

Recommended interest charges calculated to . . . 26/04/94 *PROCESSED
Run number 1 More: +

1	Customer Name	Cur	Interest Charge	Memo
-	BTM0001 Hierarchy Account 1	GBP	5597.54	
-	BTM0002 Hierarchy Account 2	FRF	5558.95	
-	BTM0003 Hierarchy Account 3	FRF	5520.35	
-	BTM0005 Hierarchy Account 5	GBP	4506.79	
-	BTM0006 Hierarchy Account 6	FRF	4468.20	
-	BTM0007 Hierarchy Account 7	FRF	4429.60	
-	BTM0009 Hierarchy Account 9	GBP	5288.71	
-	BTM0010 Hierarchy Account 10	FRF	5250.10	
-	BTM0011 Hierarchy Account 11	FRF	5211.50	
-	BTM0017 Hierarchy Account 17	GBP	11272.28	
<u>1</u>	FC01 La Parfumerie Agnes	FRF	4516.15	

Position to customer . . . ? _____

1=Outstanding value 6=Transactions
F3=Exit F4=Prompt F12=Previous



Enter 1 against the customer to display the Amend Interest Charges window showing brief details of the account, the interest charge, and the basis on which it was calculated.

Enquire on Interest Charge Runs Amend Interest Charged Window

SL535	E1 - Demonstraiton Company	User ED3	26/04/94 14:17:58
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Enquire on Interest Charge Runs

Recommended interest charges calculated to . . . 26/04/94 *PROCESSED
Run number 1 More:

1	Customer	Name	Cur	Interest Charge	Memo
—	BTM0001	Hierarchy Accou			Amend Interest Charged
—	BTM0002	Hierarchy Accou			Customer . . FC01
—	BTM0003	Hierarchy Accou			Currency . . FRF
—	BTM0005	Hierarchy Accou			La Parfumerie Agnes
—	BTM0006	Hierarchy Accou			Balance 12645.00
—	BTM0007	Hierarchy Accou			Total overdue . . 12522.75
—	BTM0009	Hierarchy Accou			Interest Charge . . 4516.15
—	BTM0010	Hierarchy Accou			Interest % . . . 10.00 per month
—	BTM0011	Hierarchy Accou			Commission
—	BTM0017	Hierarchy Accou			F12=Previous
I	FC01	La Parfumerie Agnes	FRF	4516.15	

Position to customer . . . ? _____

1=Outstanding value 6=Transactions
F3=Exit F4=Prompt F12=Previous

If you enter 6 against the customer to see a window listing all the transactions for that customer which have incurred an interest charge.

Interest Runs Report



31/ARI

This facility enables you to print the full details of any interest run which is either current (marked with an asterisk), or has been updated.



Select the AR interest charges report option
Interest Runs.

Report Interest Charges Screen

SL545	E1 - Demonstration Company	User ED3	26/04/94 14:18:58					
Report Interest Charges								
1	Date/ period	Run Number	1	Date/ period	Run Number	1	Date/ period	Run Number
<u>2</u>	26/04/94	1						
1=Summary 2=Detail *=Current								
F3=Exit								

This screen lists all the interest runs. There are two options available:

- Enter 1 against a run to produce a summary report.
- Enter 2 against a run to produce a detailed report.

You can select more than one report for printing.